

Photographs by BHASKAR PAUL



Back in the Big League

Infosys

Revenues FY09: **Rs 21,693 cr**
Employees: **1,04,850**
Market Cap: **\$16.17 bn**
Clients: Cisco, Suncorp,
United Stationers, Thermax



WIPRO

Revenues FY09: **Rs 25,562 cr**
Employees: **96,965**
Market Cap: **\$7.86 bn**
Clients: Microsoft, Morrisons, Sun
Micro, Norwich-Union, Prudential



TATA CONSULTANCY SERVICES

Revenues FY09: **Rs 28,562 cr**
Employees: **1,30,343**
Market Cap: **\$11.25 bn**
Clients: Cummins, British Airways,
Agilent, GE, Nissan, Chrysler

1m Tech Mahindra

Revenues FY09: **Rs 4,463 cr**
Employees: **25,429**
Market Cap: **\$679 mn**
Clients: British Telecom, Unisys,
ABN Amro



Satyam

Revenues FY09: **Rs 7,500 cr**
Employees: **48,000**
Market Cap: **\$750 mn**
Clients: Cisco, Citigroup

New Entity

1m Tech Mahindra + Satyam

Revenues FY09: **Rs 11,963 cr**
Employees: **73,429**
Market Cap: **\$14.29 bn**

**FY09 revenues, besides Infosys, are
as expected by analysts*

"making this bid. We will make it work."

**ANAND MAHINDRA,
CHAIRMAN, TECH MAHINDRA**

While there is no clarity on Satyam's actual revenues, people close to the deal believe that it could be in the region of Rs 7,500 crore. And even if net margins are as low as 10 per cent, the company's net profit stands at Rs 750 crore. With Tech Mahindra paying Rs 2,888 crore for a 51 per cent stake in Satyam, the enterprise value of the company adds up to approximately Rs 6,000 crore. So Tech Mahindra is paying 10 times the company's profit, which is a fair deal, claim analysts. Besides the acquisition cost, Tech Mahindra will also have to settle the class action suits pending in the US and UK. Analysts peg both the liabilities at \$200 million.

But it's going to be an uphill task for Mahindra & Mahindra to clean up Satyam and make it run profitably again, given all its liabilities and reputation issues. The biggest challenge, as in any acquisition, is likely to

be integration as Tech Mahindra is not owned by a large diversified group. Also, riding on Satyam will mean treading on unfamiliar ground, both in terms of geography and verticals. Given that Tech Mahindra has only 25,429 employees, the acquisition of a company bigger than itself may have its own challenges. While a combined employee strength of 73,429 may make Tech Mahindra next only to India's third-largest IT services provider Wipro, managing the integration may not be easy.

Mahindra's upbeat speech may have won him many fans in Satyam, but that's not going to prevent the company from right-sizing the workforce. Currently, 30 per cent of Satyam's 48,000 employees are on the bench, so many of them may have to go. However, the bidding contract has stipulated that 100 people, as identified by the board, have to be retained

for a year as they are critical to customers or projects. Moreover, Tech Mahindra will have to deal with the challenges of branding as it moves forward. Says Anil Advani, head of research at SBI Cap Securities: "Under which name will Tech Mahindra go to market? It's a crucial question as Satyam as a brand has taken a hit and till its class action suits are settled, a name change is not possible."

As far as Tech Mahindra's credibility and performance track record to revive a company like Satyam goes, analysts are awaiting a turnaround in the company's fortunes once the books are in order. With a 12 per cent stake in Satyam, I&T is likely to benefit from such an eventuality given that it cannot sell the stock for another six months. For Anand Mahindra, one of India Inc's poster boys, it is perhaps his biggest corporate test as he attempts to walk the talk. ■